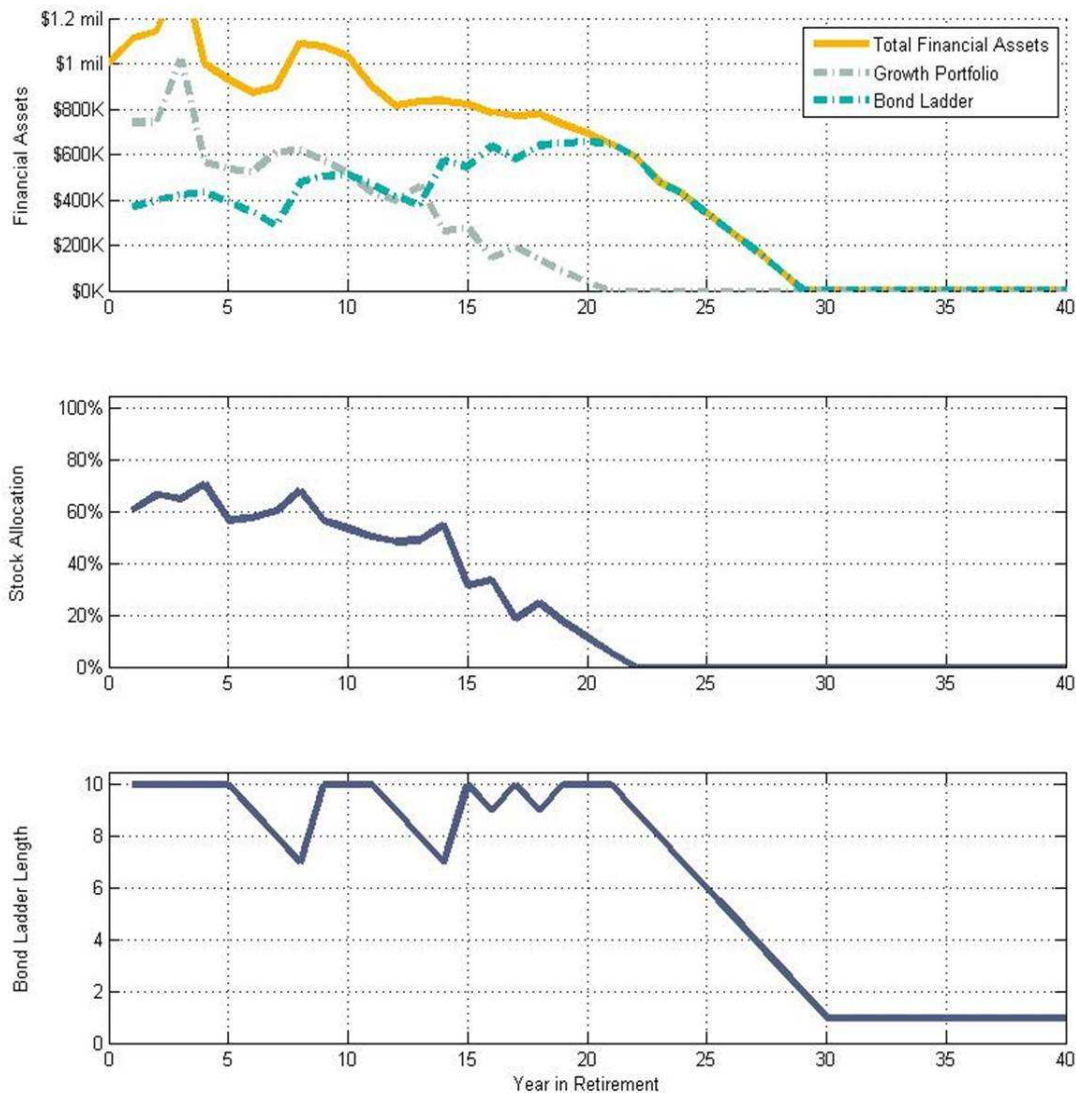


To Support an Initial \$40,000 Spending Goal with a 2% COLA



As before, Exhibit 7.17 indicates the range of possibilities for the dynamic asset allocation generated by the market-based ten-year rolling ladder. Again, twenty random simulations are shown with thin lines, along with the tenth, fiftieth, and ninetieth percentiles across the distribution. The pattern of asset allocation is similar to before, though the median stock allocation does rise more quickly to about 75 percent by the end of the time horizon. The ability to let the bond ladder length decrease after a stock decline does help preserve the portfolio a bit longer than otherwise, while also increasing stock